Summary	Quote
Advertising Nexstar's acquisition rationale incorporated advertising primarily through the claim that integrating new stations extended the company's local advertiser relationships and content scale. Local news is described as the top advertising revenue source, and specific transactions (Lafayette NBC, Waco MyNetworkTV) are framed as directly elevating advertising revenue. The connection is asserted qualitatively rather than quantified, and most quotes combine advertising with other revenue streams in describing integration outcomes.	> "The Nexstar organization is energized by the planned addition of the 19 CCA and White Knight Broadcasting stations and the opportunities that presents. We have successfully integrated the first 18 stations acquired in Q4 of 2012 and Q1 of 2013 into our existing operating base and we are generating the expected financial returns now while extending our local market reputation for delivering leading newscasts and local community-focused content and programming and initiatives for advertisers." Perry Sook, President, CEO [May 2013] > "We know produce in excess of 68,000 hours a year of local news which is in excess of 1,300 a week. And that's before we include the local news and the increased local news of our pending acquisitions. So it is our number one revenue source as a company from an advertising perspective and obviously where we spend a lot of time." Perry Sook, President & CEO [Aug 2014] > "With the creation of the NBC affiliate in Lafayette and the MyNetworkTV affiliate in Waco, we stand to further optimize the value of our platform and portfolio through efficient reallocation of our existing spectrum existing assets. These actions will elevate advertising and retransmission consent revenue and create two new duopolies with no incremental M&A cost." Perry Sook, President & CEO [May 2015]
Local News Nexstar consistently linked acquisition activity to local news investment, both as a rationale for deals and as a post-close operational step. CapEx for news facilities (Marquette, Memphis) and expanded programming hours in newly acquired markets appear as concrete evidence. The Media General acquisition was explicitly framed around creating a large local news provider. After Tribune, management described rapid expansion of news bureaus across acquired markets.	> "We know produce in excess of 68,000 hours a year of local news which is in excess of 1,300 a week. And that's before we include the local news and the increased local news of our pending acquisitions. So it is our number one revenue source as a company from an advertising perspective and obviously where we spend a lot of time." Perry Sook, President & CEO [Aug 2014] > "We also in early 2016 completed the accretive acquisition of four CBS affiliated television stations in North Dakota, which was announced in Q3. We followed our record 2015 operating results and platform-building activity with last month's announcement that Nexstar entered into a definitive agreement to acquire Media General for $4.6 billion in a highly accretive cash and stock transaction. I will talk in a moment about our newly initiated Nexstar-only free cash flow projections for 2016/2017 and why the additional Media General assets is a phenomenal near- and long-term growth opportunity for shareholders of both companies as we create an industry-leading provider of local news and content and local programming with over $500 million of annual average free cash flow." Perry Sook, President & CEO [Feb 2016] > "Since closing Tribune, we've expanded our staffing in our Washington, D.C. Bureau and relocated into larger D.C. space to accommodate our commitment to provide the best local stories from Washington to our markets. We're working quickly to expand local news bureaus and produce more local news and other relevant programming in several of our acquired markets. We've also appointed new station operating leaders to oversee key markets, including Dallas, Fresno, Des Moines, Tampa and Spartanburg, and we've elevated members of the legacy Nexstar operating sales and finance teams to new roles to acknowledge their ongoing contributions to the company's growth." Perry A. Sook, Chairman, President & CEO [Nov 2019]
Acquisition Criteria Nexstar applied a stable set of M&A screens throughout the period: free cash flow accretion upon closing, duopoly creation where possible, a buyer's entry multiple "starting with a 5," and a leverage ceiling of 5.5x. These criteria were restated across earnings calls with minimal variation, functioning as both operational discipline and investor signaling. Digital acquisitions added three further screens in 2015 — technology fit, share of wallet, and accretion.	> "Throughout 2012 and into 2013, Nexstar actively and opportunistically identified station acquisitions that adhere to our criteria for accretion and creating new strong local platforms. Since mid-2012, Nexstar has announced and completed the acquisition of 18 television stations in accretive transactions, that also create six new duopoly markets for the Company. [...] The net result of these acquisitions is that Nexstar will generate over a 50% increase in free cash flow compared to the run rate of Nexstar's legacy station portfolio, prior to the announcement of the first Newport transaction." Perry Sook, President and CEO [Mar 2013] > "Well, I think from our perspective, we still see there being opportunities for accretive M&A, and accretive M&A at levels that are consistent with what we have seen in the past, which is a buyer's multiple of something that starts with a 5 for us. And so we're more interested in putting that money to work for the most accretive acquisitions we can and the most accretive purposes we can. And if we still believe that, that is in fact the case, which we do, in acquisitions, that is more accretive and substantially more accretive than buying back our stock." Perry Sook, President, CEO [Feb 2014] > "As a relates to M&A, again, our focus is on, is this additive to our current tech stack and go-to-market capabilities and opportunities, does it give us an ability to add and ask for a larger share of wallet. And then, thirdly, digital acquisitions compete for capital just the same as station acquisitions do, so is it accretive? Those are three screens we have to clear to make any acquisition, including digital ones." Perry Sook, President & CEO [Nov 2015]